

Quibi: Why Does a Billion-Dollar Project with a Star Team Fail?

Key Facts

Company	Quibi (Quick Bites)
Industry	Short-Form Streaming / Mobile Entertainment
Founded	2018 — Jeffrey Katzenberg and Meg Whitman
Funding	\$1.75 billion from top investors
Launch	April 2020
Shutdown	December 2020 — after only 8 months

Executive Summary

Jeffrey Katzenberg — former head of Disney Studios and co-founder of DreamWorks. Meg Whitman — former CEO of eBay and HP. Together, they raised \$1.75 billion to launch Quibi: a "quick" short-form video platform (10 minutes or less) designed exclusively for mobile viewing during waiting periods — on commutes, in coffee-shop lines, on lunch breaks. The premise: people want high-quality (Hollywood-level) content in a small size that fits their busy lives.

Every major Hollywood studio invested. First-tier stars were signed. Hundreds of hours of original content were produced. Innovative technology for seamless switching between landscape and portrait modes was developed. Everything was ready for a massive launch in April 2020.

Then the pandemic struck. The world stopped. No one was commuting anymore. No one was waiting in coffee-shop lines. Everyone was at home — watching Netflix and Disney+ on big TV screens. Quibi's entire premise collapsed overnight. By December 2020 — only 8 months after launch — the company shut its doors and returned \$350 million to investors. Loss: \$1.4 billion in 8 months.

Failure Analysis

Factor	What Happened	Lesson
Timing	Launch during a global pandemic that destroyed the core use case	Plan for uncontrollable external risks (force majeure)
Product	Short content was no better than free YouTube	If the free alternative is "good enough," no one will pay
Distribution	No TV app — mobile only	Don't restrict your product to one platform when alternatives exist
Pricing	\$5–8 a month for content shorter than free TikTok	Perceived value matters more than production quality
Focus	Obsession with the technology (Turnstyle) instead of the user need	Don't fall in love with the solution — fall in love with the problem

Discussion Questions

- Was Quibi's failure inevitable because of the pandemic, or were the problems structural and would they have surfaced even without it?
- How could a feasibility study have revealed early that "no one wants to pay for short-form content"?
- What warning signs should investors have seen before pouring in \$1.75 billion?